Fallowbrook decision brief

Ohio fabrication plant → leased paint cell | Requirements snapshot: 15 January 2025

Decision: use the remote warehouse within the current ERP site for the March launch.

This keeps the leased paint cell as a physical remote location while inventory stays in Fallowbrook's existing licensed ERP site. It is the highest eligible design (4.75) and avoids waiting for a second ERP licence. The result is a controlled direct-delivery loop, rather than a new ERP implementation.

What changes at launch

Weekly measure	Current	Launch	Change / flag
Paint-bound demand	1,200 assemblies	2,400 assemblies	+1,200 / +100.0% — MATERIAL
Truck loops	5	10	+5 / +100.0% — MATERIAL
Transport cost	$1,500	$3,000	+$1,500 / +100.0% — MATERIAL

Each loop is an 80-mile round trip. Cost is 80 miles × $1.20, plus $160 driver and $44 handling: $300 per loop. Whole loads are used: demand ÷ 240-assembly usable capacity, rounded up.

Alternatives considered

Design	Result	Why
Remote warehouse within current ERP site	ELIGIBLE • rank 1 • 4.75	Uses current licence, direct lot controls and appointed handoffs.
Licensed second ERP site	INELIGIBLE • 3.45	A true second ERP site needs added licence and implementation readiness; neithe
Outside-processing purchase order	ELIGIBLE • rank 2 • 3.25	Workable, but more external handoffs lower traceability, dock-control and custody/r

How the material and records flow

1. Release and dispatch (IT-OUT). The main-plant clerk releases an approved customer lot, labels it with the same lot ID and obtains carrier custody on a signed bill of lading. **2. Receive and paint (PC-RECV, PC-ISSUE).** The paint-cell lead checks lot, quantity and documents, then issues the same lot to paint. A paint-batch or rack ID is only linked to—not substituted for—the customer lot. **3. Return and receive (IT-RETURN, FG-RECEIPT).** A scheduled carrier pickup returns the lot; the main plant receives it only after matching lot, quantity, documents and quality release.

Single-dock and quality controls

The paint cell has one dock and no staging. Every delivery and pickup needs an appointment and direct handoff. If the cell cannot accept a load, the carrier stays at the plant or the trip is rescheduled; it must not queue at the cell. A mismatch in lot, count or documents—or a nonconforming painted lot—uses **QHOLD**: material is identified and segregated, cannot be issued, consumed or finally received, and the Quality manager alone approves release or disposition. Retained evidence includes the hold, discrepancy/nonconformance record and disposition.

Requirements that shape the design

ISO 9001:2015 requires controlled records (7.5), identification and traceability (8.5.2), preservation (8.5.4), and control of nonconforming output (8.7). Ohio commercial-vehicle, load-securement and carrier-record rules apply during transport; they do not create an ERP licence and do not apply to stationary paint processing merely because it is in Ohio. "Site" in everyday business means a physical location; in ERP it means a licensed configuration object—so the leased cell is remote physically but not a second ERP site in this launch design.